

mand area development sector.

E-procurement has made the suppliers happy. "The procurement process is now encrypted and clears apprehensions of leakage," says Vikas Kumar Thakur, an e-tendering executive with infrastructure developer IVRCL, who has relied on it for several contracts totalling about Rs 230 crore. The system also benefits the small trader. In the past, they would complain that they got to know of tenders only once the bids had closed, as the ads usually appeared in newspapers which had low circulation. Now tenders can be accessed online 24x7.

The system has been outsourced to Commerce One India that gets 0.04 per cent of the tender value as fees from the bidders. It is paid a maximum fee of Rs 10,000 by each bidder for contracts worth less than Rs 50 crore and Rs 25,000 for contracts of a higher value through an exclusive payment gateway. Therefore, the government does not have to pay to run this project. More significantly, greater competition—4.75 players per tender as against 3.5 earlier—has also brought down the price quoted by bidders.



VINDICATION: UN Deputy General Secretary Asha-Rose Migiro (second from right) presents the award

Prices quoted are down by 16 per cent, which once again translates into savings for the government.

Some other states—Gujarat, Madhya Pradesh, Chhattisgarh, Rajasthan, Karnataka, Assam and Delhi—the South Central Railway and the Northern Railway have also introduced the electronic processing system. The departments and agencies of the Union government put together buy material worth about Rs 5 lakh crore a year. A

The e-procurement system received the UN Public Service Award 2007 for its efficiency and transparency.

10 per cent cut in procurement costs would mean savings of around Rs 50,000 crore.

The e-procurement scheme figured among the top 20 global programmes in 2007 for the Innovations in Transforming Government award of the Ash Institute for Democratic Governance and Innovation at Harvard University's Kennedy School of Government. It also received the UN Public Service Award 2007 for its role, professionalism and vision. The international recognition of the system will hopefully prompt the government to go for the kill. ■

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